

June 9, 2026 06:42 AM GMT

China Steel Exports | Europe

May - MoM Uptick, But Still Lower YoY

China's May finished-steel net exports rose ~10% MoM day-adjusted to 9.89mt (~119mtpa), but remain ~8% lower YoY. Europe is increasingly insulated as imports are constrained, regional HRC premiums widen and CBAM/safeguards reinforce price floors and EBITDA/t upside.

Sequentially higher, but still lower YoY. China's May finished-steel net exports increased ~10% sequentially on a day-adjusted basis to 9.89mt, implying an annualised run-rate of ~119mtpa, above our China Materials analyst's 2026 forecast of ~105mt. However, YtD, exports remain ~8% lower YoY. YtD CISA member output is down ~7% YoY, underscoring persistent demand weakness, with the latest late-May datapoint pointing to a further 4% decline vs the prior 10-year period, as buying activity slowed heading into the weaker summer season.

Steel market continues to regionalise ... Q2 indicators point to a decline in European steel imports across products vs 4Q25, suggesting policy is starting to bite. The market is also repricing supply-chain security: since the start of the Middle East conflict, CIF Antwerp HRC has risen US\$70/t vs US\$29/t for FOB China, expanding Europe's premium by US\$41/t before any incremental uplift from CBAM or tighter safeguards (see [Home Advantage](#)). We see this as evidence that buyers are increasingly paying for proximity and reliability, in light of elevated freight, insurance and disruption risks.

... and policy should reinforce Europe's price floor. CBAM implementation from 1 January 2026 and safeguard tightening from 1 July, including higher out-of-quota tariffs, should further strengthen local pricing power. The European Council formally [approved](#) the safeguards yesterday, making the final regulatory approval. While China accounts directly for only ~13% of Europe's imports, the proposed melted-and-poured clause could materially extend policy reach via intermediary countries. Even without a demand recovery, we estimate the framework could leave Europe structurally short by 10-15mt, tightening supply and supporting higher clearing prices. Consistent with this, EU HRC spreads have risen to US\$404/t, above the long-run average of US\$320/t.

We remain constructive, but selective. In Europe, the steel profit pool appears to be migrating back toward domestic mills, with higher import parity, a more robust policy framework and improving utilisation supporting an EBITDA/t re-base. We continue to prefer European carbon steel equities with local integrated assets, shipment flexibility and leverage to widening regional premia. ArcelorMittal remains our preferred play on the dynamic; relative to European peers, the company offers greater scope to flex volumes, improve fixed-cost absorption, and capture share as the policy framework redirects marginal tonnes back toward domestic supply. We

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EMEA - METALS & MINING

Europe

Industry View

In-Line

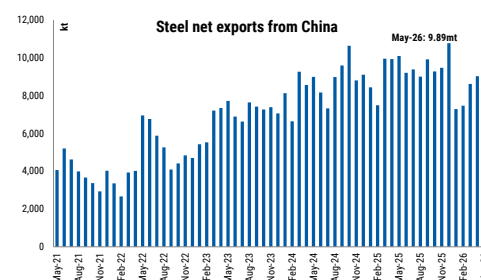
CARBON STEEL

Europe

Industry View

In-Line

Exhibit 1 : China's finished steel net exports increased 10% MoM (day-adjusted) in May



Source: CEIC, Morgan Stanley Research.

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also see Salzgitter as a key beneficiary, with the earnings inflection increasingly visible. See: [Earnings Inflect, Leverage Peaks – Overweight \(1 Jun 2026\)](#)

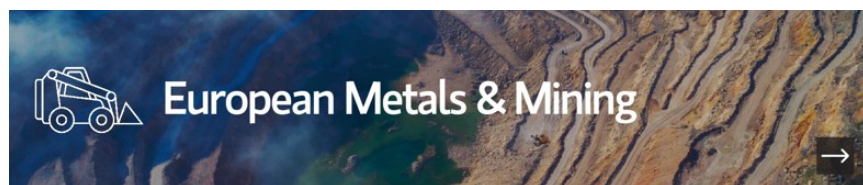


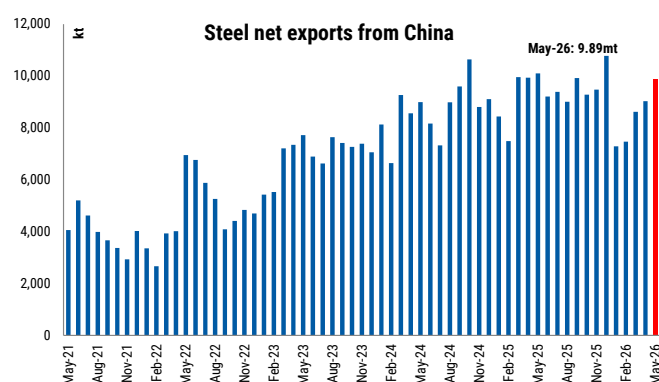
Chart gallery: key trade data

Exhibit 2: China steel trade data

	China Trade Data					
	Gross Exports (kt)	Gross Imports (kt)	Data (kt)	MoM, %	YoY, %	YTD, %
May-26	10,341	451	9,890	10%	-2%	-8%
Apr-26	9,500	470	9,030	5%	-9%	-10%
Mar-26	9,130	510	8,620	15%	-13%	-10%
Feb-26	7,840	370	7,470	2%	0%	-7%
Jan-26	7,750	460	7,290	-32%	-14%	-14%
Dec-25	11,300	520	10,780	14%	18%	8%
Nov-25	9,980	500	9,480	2%	8%	7%
Oct-25	9,780	500	9,280	-6%	-13%	7%
Sep-25	10,470	550	9,920	10%	3%	10%
Aug-25	9,510	500	9,010	-4%	0%	11%
Jul-25	9,840	450	9,390	2%	28%	13%
Jun-25	9,680	470	9,210	-9%	13%	11%
May-25	10,580	480	10,100	2%	12%	10%
Apr-25	10,460	520	9,940	0%	16%	10%
Mar-25	10,460	500	9,960	33%	7%	8%
Feb-25	8,040	550	7,490	-11%	13%	8%
Jan-25	8,940	500	8,440	-7%	4%	4%
Dec-24	9,730	620	9,110	3%	29%	25%
Nov-24	9,280	470	8,810	-17%	19%	24%
Oct-24	11,180	540	10,640	11%	46%	25%
Sep-24	10,150	550	9,600	7%	29%	22%
Aug-24	9,500	510	8,990	23%	18%	21%
Jul-24	7,830	500	7,330	-10%	11%	22%
Jun-24	8,740	570	8,170	-9%	18%	24%
May-24	9,631	640	8,991	5%	16%	25%

Source: CEIC. MoM = Month on month, YoY = Year on year, YTD = Year to date, N/A = not applicable.

Exhibit 3: China finished steel net exports



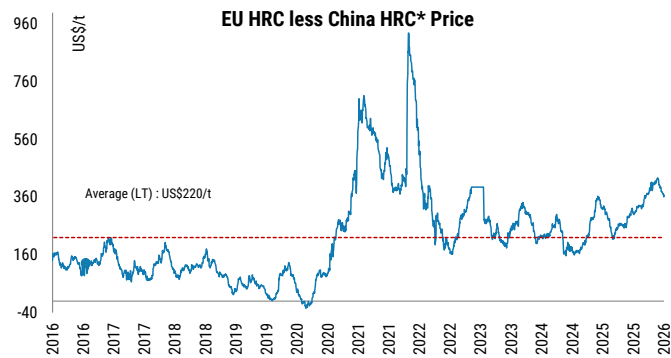
Source: CEIC, Morgan Stanley Research

Exhibit 4: China finished steel gross exports to EU28



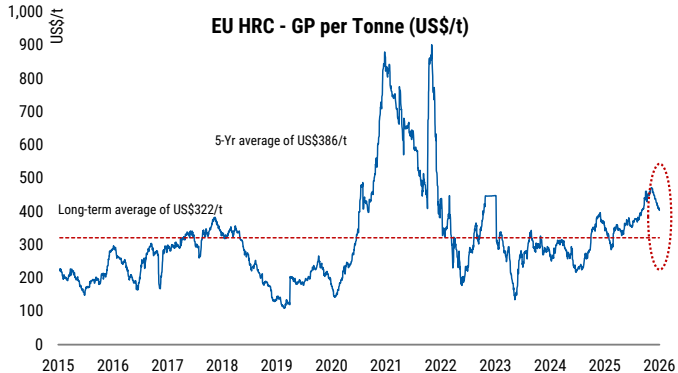
Source: CEIC, Morgan Stanley Research

Exhibit5: Price spreads: EU HRC less China HRC



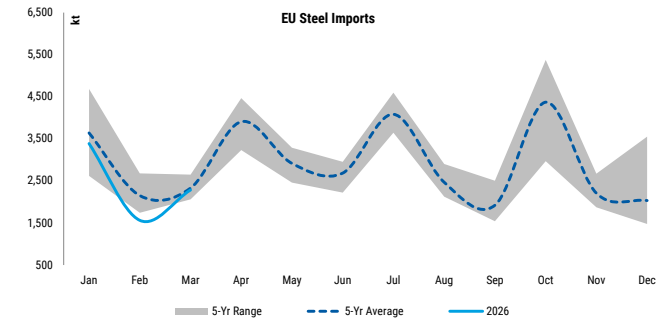
Source: Bloomberg, Morgan Stanley Research. * China domestic prices are based on the Shanghai benchmark for HRC excluding 17% VAT.

Exhibit6: Spreads: EU HRC gross profit per tonne*



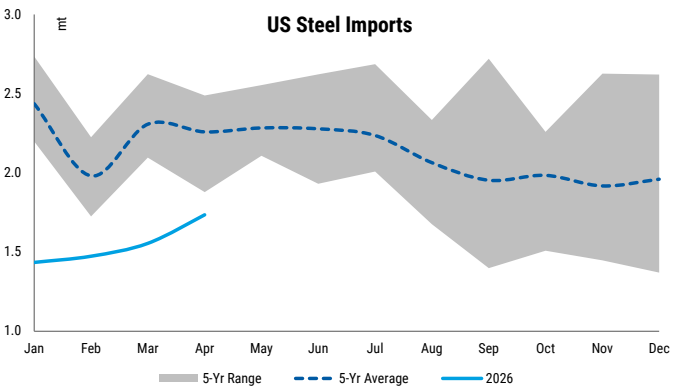
Source: Bloomberg, Morgan Stanley Research. * Gross profit per tonne is calculated based on EU HRC prices less the prices of iron ore and coking coal.

Exhibit 7: Monthly steel imports to EU from all destinations



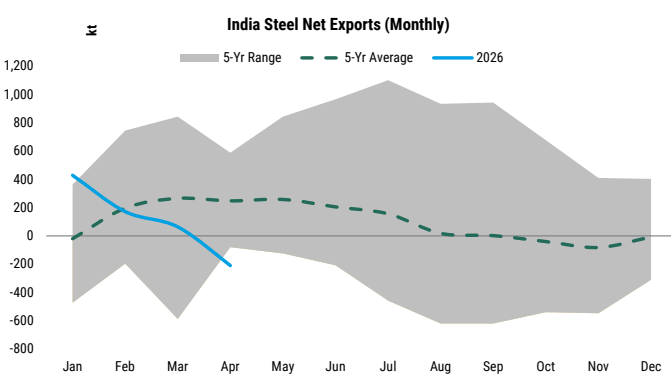
Source: Eurofer, Eurostat, Morgan Stanley Research. Note: There is a discrepancy between data sourced from CEIC and Eurofer.

Exhibit 8: Monthly steel imports to US from all destinations



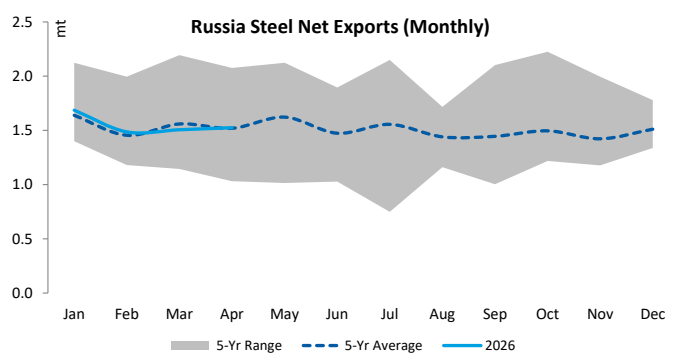
Source: US DOC, Morgan Stanley Research

Exhibit 9: India's monthly steel imports/exports



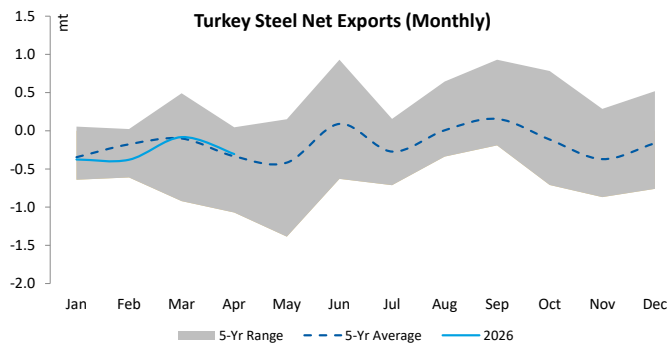
Source: Joint Plant Committee, Morgan Stanley Research

Exhibit 10: Russia's monthly steel imports/exports



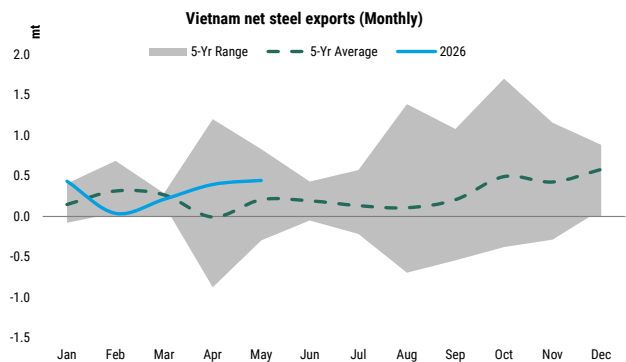
Source: Metal Expert, Morgan Stanley Research

Exhibit 11: Turkey's monthly steel imports/exports



Source: Metal Expert, Morgan Stanley Research

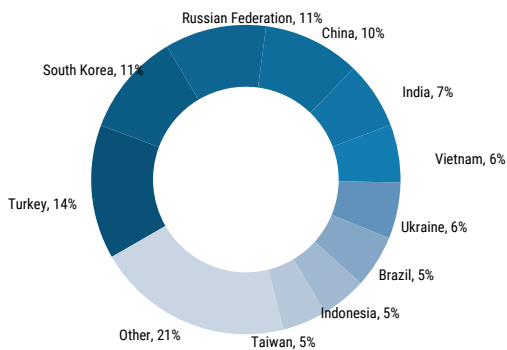
Exhibit 12: Vietnam's monthly steel imports/exports



Source: Metal Expert, Morgan Stanley Research

Exhibit 13: EU total steel imports by geography – Turkey, S. Korea, China and Vietnam dominate

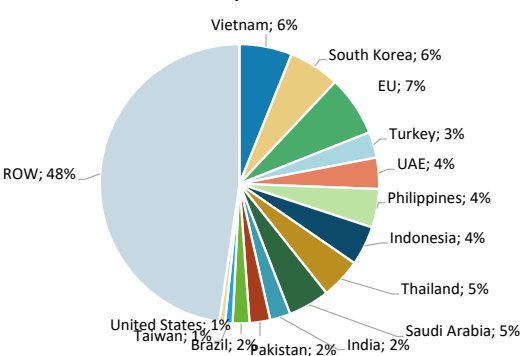
EU total steel imports by geography (YTD Mar 2026)



Source: Eurofer, Eurostat, Morgan Stanley Research

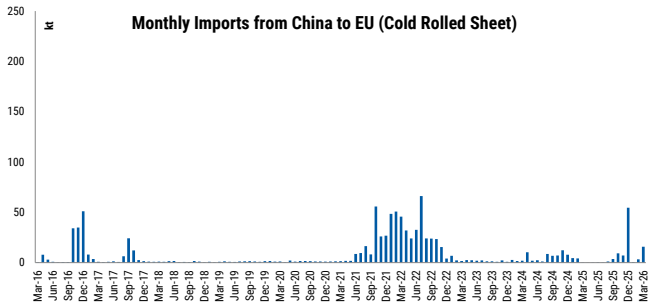
Exhibit 14: China's steel exports by geography, showing significant fragmentation of recipients

China Steel Exports 2026 YTD



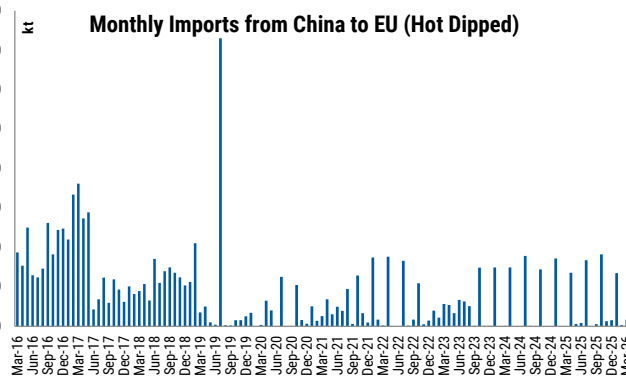
Source: CEIC

Exhibit 15: EU imports from China (cold rolled sheet) – sharp declines following AD



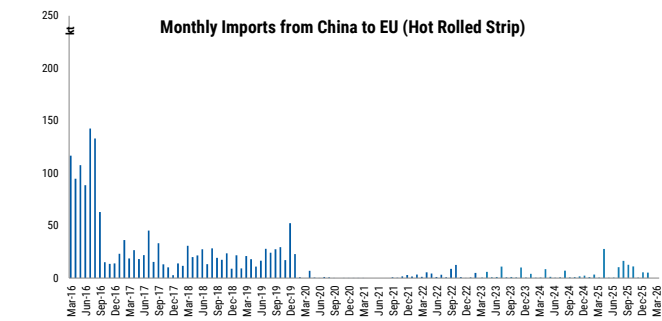
Source: Eurofer, Eurostat, Morgan Stanley Research

Exhibit 16: EU imports from China (hot dipped) – at low level



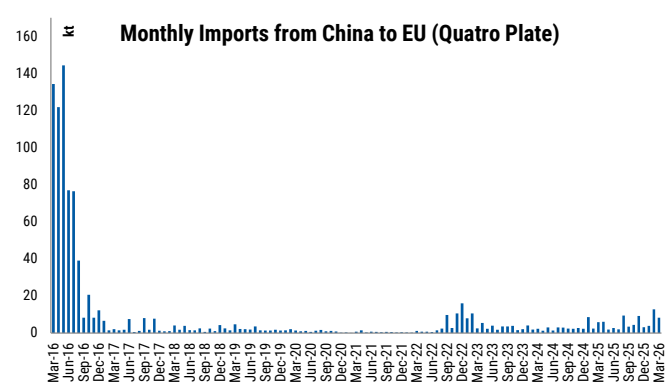
Source: Eurofer, Eurostat, Morgan Stanley Research

Exhibit 17: EU imports from China (hot rolled wide strip) – impact of AD driving lower



Source: Eurofer, Eurostat, Morgan Stanley Research

Exhibit 18: EU imports from China (quarto plate) – impact of AD driving lower



Source: Eurofer, Eurostat, Morgan Stanley Research

EU Safeguard Quotas & Balances

Exhibit 19: Quarterly Quotas

Product	01-Apr-2026 to 30-Jun-2026			
	Quota [^] kt	B/F ^{^^} kt	Imports kt	Utilised %
Carbon Steel				
Non Alloy and Other Alloy Hot Rolled Sheets and Strips				
Turkey	398	0	398	100%
India	225	0	225	100%
South Korea	161	0	134	83%
United Kingdom	139	0	12	9%
Serbia	143	0	36	25%
Others	858	0	387	45%
Non Alloy and Other Alloy Cold Rolled Sheets				
India	163	0	3	2%
Korea	95	0	74	78%
United Kingdom	88	0	0	0%
Serbia	41	0	15	36%
Others	335	0	94	28%
Metallic Coated Sheets				
Korea	38	179	214	99%
India	54	134	29	15%
United Kingdom	35	89	23	18%
China	128	0	128	100%
Others	473	108	403	69%
Non Alloy and Other Alloy Quarto Plates				
Ukraine	254	0	0	0%
United Kingdom	5	0	0	0%
Others	551	0	327	59%
Stainless Steel				
Stainless Hot Rolled Sheets and Strips				
Others	110	72	32	17%
Stainless Cold Rolled Sheets and Strips				
Korea	50	40	30	33%
Taiwan	46	27	11	15%
India	31	60	7	8%
USA	25	71	1	1%
Turkey	21	7	15	52%
Others	53	16	18	25%

Source: European Commission, Morgan Stanley Research. [^] Updated from Annex IV.1 Volumes of tariff-rate quotas, ^{^^} Unused quotas from previous period brought forward.

Valuation Methodology and Risks

ArcelorMittal SA (MT.AS)

In line with the other carbon steel equities, we apply a through-the-cycle multiple on 2027-2028 average EBITDA, which captures the first period in which the new, stronger European trade policy regime is fully reflected in industry economics. We apply a multiple of 7.1x, which is the stock's own historical average.

Risks to Upside

- Strong China steel demand or a supply reform programme leading to lower exports.
- A faster end market demand improvement in key markets.
- A larger buyback programme.

Risks to Downside

- Weaker steel demand in China, boosting exports and pressuring seaborne prices.
- Escalating trade friction leading to weaker demand
- Renewed end-market weakness and contracting steel spreads
- Unexpected (sizeable) investments in new regions

Salzgitter AG (SZGG.DE)

In line with the other carbon steel equities, we apply a through-the-cycle multiple on estimated average EBITDA over 2027-28, which captures the first period in which the new, stronger European trade policy regime is fully reflected in industry economics. We apply a multiple of 7.0x, which is the stock's own historical average.

Risks to Upside

- Further re-rating in Aurubis shares and a higher earnings profile going forward
- The full margin upside from the new EU policy framework, driving further EBITDA upgrades
- Successful restructuring of the HKM asset, driving upside to earnings estimates

Risks to Downside

- A de-rating of Aurubis shares
- Worse than expected demand environment in Europe
- Spending slippage at SALCOS Phases 1/2/3

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(as of May 31, 2026)

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For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a

buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

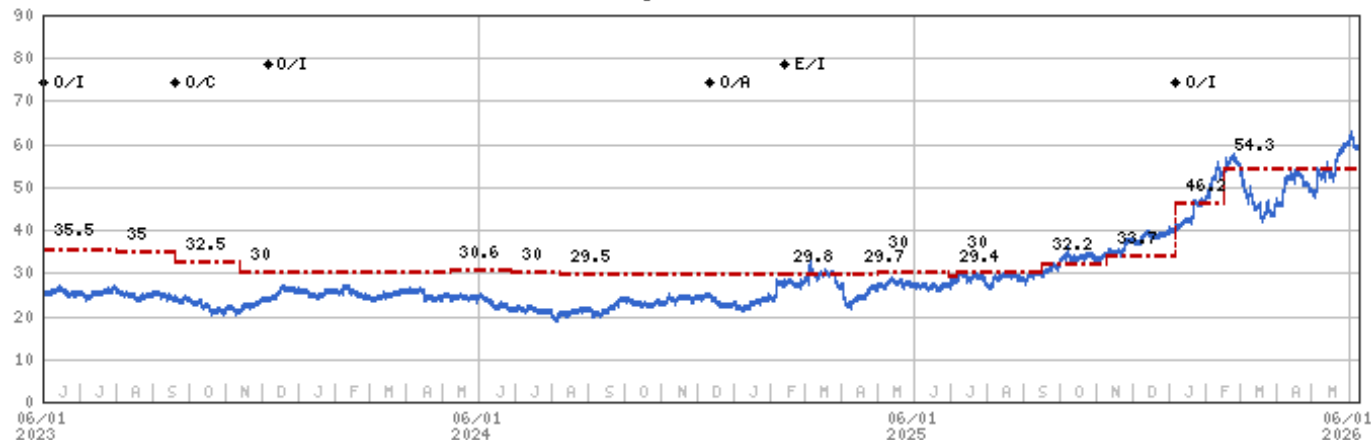
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

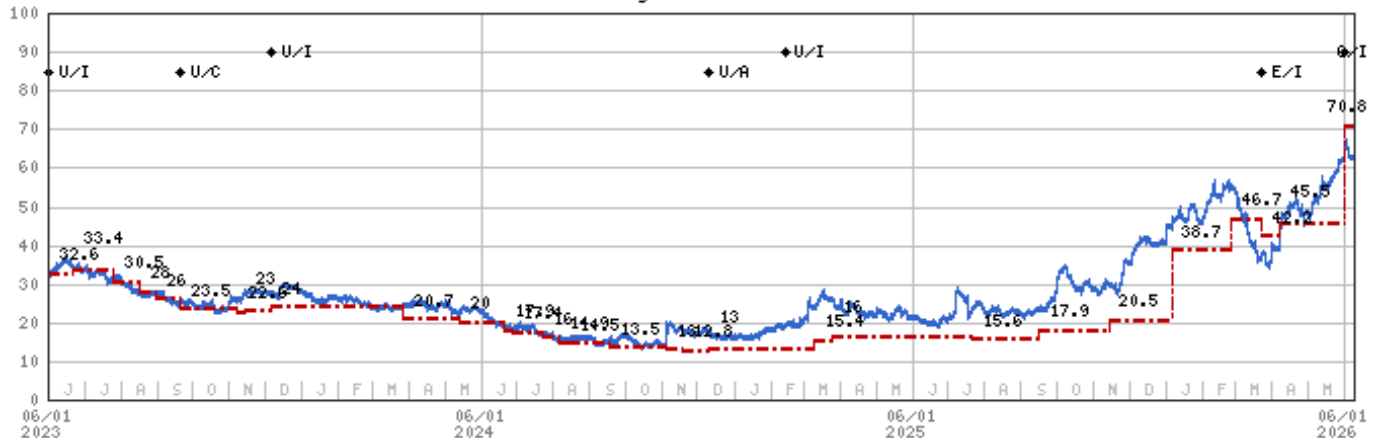
ArcelorMittal SA (MT.AS) - As of 06/09/26 GMT in EUR
Industry : Carbon Steel



Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Salzgitter AG (SZGG.DE) - As of 06/09/26 GMT in EUR
Industry : Carbon Steel



Stock Rating History: 6/1/21 : E/I; 12/8/21 : U/I; 6/22/22 : E/I; 3/29/23 : U/I; 9/20/23 : U/C; 12/6/23 : U/I; 12/11/24 : U/A; 2/13/25 : U/I; 3/23/26 : E/I; 6/1/26 : O/I

Price Target History: 5/24/21 : 25.2; 6/22/21 : 28.5; 8/13/21 : 31; 9/28/21 : 31.2; 11/2/21 : 32; 12/8/21 : 30.7; 1/18/22 : 30.1; 2/18/22 : 31.9; 3/23/22 : 41.5; 4/10/22 : 43; 5/29/22 : 46; 6/22/22 : 40.8; 7/7/22 : 38.5; 9/14/22 : 33.3; 10/4/22 : 30.5; 11/25/22 : 31.5; 12/7/22 : 32.9; 1/16/23 : 34; 3/29/23 : 34.6; 5/11/23 : 32.6; 6/21/23 : 33.4; 7/26/23 : 30.5; 8/17/23 : 28; 8/31/23 : 26; 9/20/23 : 23.5; 11/7/23 : 22.6; 11/15/23 : 23; 12/6/23 : 24; 3/27/24 : 20.7; 5/14/24 : 20; 6/20/24 : 17.9; 6/28/24 : 17.4; 7/23/24 : 16; 8/6/24 : 14.9; 8/14/24 : 14.5; 9/18/24 : 13.5; 11/4/24 : 13; 11/18/24 : 12.8; 12/11/24 : 13; 3/10/25 : 15.4; 3/25/25 : 16; 7/21/25 : 15.6; 9/16/25 : 17.9; 11/14/25 : 20.5; 1/6/26 : 38.7; 2/26/26 : 46.7; 3/23/26 : 42.2; 4/8/26 : 45.5; 6/1/26 : 70.8

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/08/2026)
Alain Gabriel, CFA		
Anglo American (AGLJ.J)	++	ZAc 85,465
Erdemir (EREGL.IS)	U (09/14/2022)	TL 39.02
Brian Morgan		
African Rainbow Minerals (ARIJ.J)	E (04/08/2025)	ZAc 18,548
Exxaro Resources Limited (EXXJ.J)	O (04/08/2025)	ZAc 22,000
Implats Limited (IMPJ.J)	O (01/23/2026)	ZAc 18,981
Kumba Iron Ore (KIOJ.J)	E (10/07/2025)	ZAc 30,612
Northam Platinum Limited (NPHJ.J)	U (03/20/2026)	ZAc 26,585
Sibanye-Stillwater (SSWJ.J)	E (01/23/2026)	ZAc 4,080
Thungela Resources Ltd (TGAJ.J)	U (09/11/2025)	ZAc 15,234
Valterra Platinum Limited (VALJ.J)	E (05/30/2025)	ZAc 116,770
Christopher Nicholson		
AngloGold Ashanti Ltd (ANGJ.J)	E (10/18/2023)	ZAc 138,564
Gold Fields Limited (GFIJ.J)	E (04/16/2026)	ZAc 59,341
Harmony Gold Mining Company Ltd (HARJ.J)	O (04/16/2026)	ZAc 25,500

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

INDUSTRY COVERAGE: Carbon Steel

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/08/2026)
Alain Gabriel, CFA		
ArcelorMittal SA (MT.AS)	O (01/06/2026)	€58.74
Salzgitter AG (SZGG.DE)	O (06/01/2026)	€62.15
SSAB AB (SSABa.ST)	O (05/05/2026)	SKr 96.40
thyssenkrupp AG (TKAG.DE)	E (03/23/2026)	€11.36

voestalpine AG (VOES.VI)	E (06/01/2026)	€45.72
Stock Ratings are subject to change. Please see latest research for each company.		
* Historical prices are not split adjusted.		

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